

CASE ID: 202303710002

EPISODE NAME: China restricts US company Micron, gallium and germanium exports

2023/03/31 - Ongoing

Sender: China (710)

Target: United States (2)

Issue: Deny Strategic Materials (6)

Final Outcome: Ongoing

Summary:

On 2023/03/31, China began a cybersecurity investigation into US chip manufacturer Micron, which was widely seen as retaliation for US semiconductor export controls imposed on 2022/10/07. China imposed restrictions on Micron on 2023/05/21. Further, China announced restrictions on exports of gallium and germanium on 2023/07/03, also seen as retaliation for the 2022/10/07 export controls, which they began to impose on 2023/08/01. These restrictions are still in place and the episode is ongoing.

Narrative:

On 2023/03/31, China Beijing announced a cybersecurity investigation into US chipmaker Micron Technology.¹ China framed the investigation as a national security measure, but in the United States the decision was also widely viewed as retaliation for semiconductor export controls imposed on 2022/10/07.²³

On 2023/05/21, China banned companies that deal with critical information from purchasing production from Micron because, according to the Cyberspace Administration of China, the company posed “relatively serious cybersecurity problems.”⁴ The sanctions were disruptive to the Chinese economy as corporations scrambled to find domestic and Korean suppliers.⁵ Meanwhile, the effects on Micron were unclear.⁶

On 2023/07/03, China announced global export restrictions on gallium and germanium, both metals important to semiconductor manufacturing.⁷ The bans were imposed on 2023/08/01, and required Chinese firms to obtain special dual-use permits to export the metals.⁸ These restrictions

¹ Chang Che and John Liu. “China Strikes Back at U.S. Chip Maker Even as It Signals Openness.” *New York Times*, 4 April 2023. <https://www.nytimes.com/2023/04/04/business/micron-china-investigation.html>

² Ibid.

³ Benson, Emily. “Updated October 7 Semiconductor Export Controls.” *Center for Strategic and International Studies*, 18 October 2023. <https://www.csis.org/analysis/updated-october-7-semiconductor-export-controls>

⁴ Chang Che. “China Bans Some Sales of Chips From U.S. Company Micron.” *New York Times*, 21 May 2023. <https://www.nytimes.com/2023/05/21/business/china-ban-microchips-micron.html>

⁵ Ibid.

⁶ Ibid.

⁷ Areddy, James and Shu Hua. “China Restricts Exports of Two Minerals Used in High-Performance Chips” *The Washington Post*, 4 July 2023.

<https://www.wsj.com/world/china-restricts-exports-of-two-minerals-used-in-high-performance-chips-a649402b>

⁸ “China gallium, germanium export curbs kick in; wait for permits starts.” *Reuters*, 1 Aug 2023.

<https://www.reuters.com/markets/commodities/chinas-controls-take-effect-wait-gallium-germanium-export-permits-begins-2023-08-01/>

were also widely seen as retaliation for the 2022/10/07 US export controls.⁹¹⁰ Although initial expectations predicted the restrictions would produce a significant disruption to the semiconductor industry, the damage proved to be smaller than anticipated because China approved most export permits.¹¹

This episode is part of an ongoing campaign of semiconductor related export controls that began with the US export controls on 2022/10/07.¹²

These restrictions are still in place and the episode is ongoing.

⁹ Areddy, James and Shu Hua. "China Restricts Exports of Two Minerals Used in High-Performance Chips" *The Washington Post*, 4 July 2023.

<https://www.wsj.com/world/china-restricts-exports-of-two-metals-used-in-high-performance-chips-a649402b>

¹⁰ Benson, Emily. "Updated October 7 Semiconductor Export Controls." *Center for Strategic and International Studies*, 18 October 2023. <https://www.csis.org/analysis/updated-october-7-semiconductor-export-controls>

¹¹ *Ibid.*

¹² Swanson, Ana. "Biden Administration Clamps Down on China's Access to Chip Technology." *New York Times*, 7 Oct. 2022. <https://www.nytimes.com/2022/10/07/business/economy/biden-chip-technology.html>